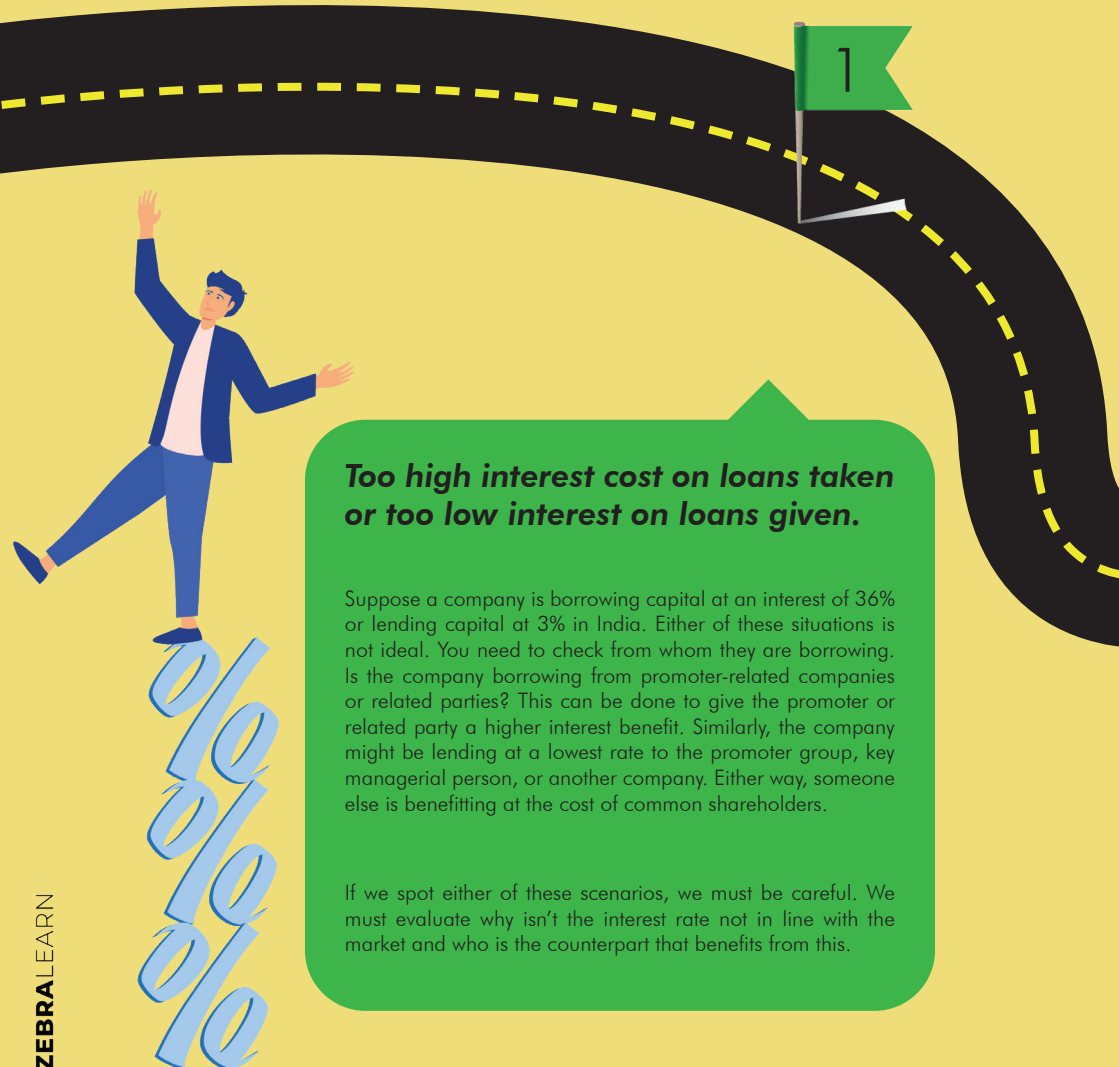


In the previous chapter, we analyzed and understood different parts of the financial statement in detail. This includes Income statements, balance sheets, cash flow statements, and different line items. Now, we need to identify different warning signs in the company's accounts that can indicate underperformance or manipulation. Whenever you find these, you must look for reasons and in many cases stay away from the company. These are not necessarily red flags but warning signs and one must get cautions when they spot these.



Too high interest cost on loans taken or too low interest on loans given.

Suppose a company is borrowing capital at an interest of 36% or lending capital at 3% in India. Either of these situations is not ideal. You need to check from whom they are borrowing. Is the company borrowing from promoter-related companies or related parties? This can be done to give the promoter or related party a higher interest benefit. Similarly, the company might be lending at a lowest rate to the promoter group, key managerial person, or another company. Either way, someone else is benefitting at the cost of common shareholders.

If we spot either of these scenarios, we must be careful. We must evaluate why isn't the interest rate not in line with the market and who is the counterpart that benefits from this.